

Credit Lifecycle Management: Workflow and User Roles for System Prototyping

This document provides a comprehensive synthesis of the Development Bank of Ethiopia's (DBE) required Loan Origination System (LOS) and Document Management System (DMS) workflows. It is designed to serve as a foundational guide for a technology partner to develop a credit lifecycle management prototype, covering the journey from customer application to disbursement.

1. Core Process Overview

The proposed "TO-BE" workflow transitions the bank from paper-based, human error-prone manual processes to a digital, automated system. The credit lifecycle is categorized into several high-level stages that the prototype must support:

1. **Customer Sourcing & Application:** Identifying potential investors and receiving online or physical applications.
2. **Document Screening & KYC:** Initial verification of physical and legal fulfillment as per embedded checklists.
3. **Appraisal Stage:** Technical and financial viability analysis.
4. **Review Stage:** Independent evaluation of appraisal reports and KYC assessments.
5. **Approval Stage:** Decision-making by relevant committees (Approve, Pend, or Reject).
6. **Contracting & Registration:** Signing of legal loan/lease agreements and mortgage registration.
7. **Implementation & Disbursement:** Fund release and compliance checking.
8. **Monitoring & Follow-up:** Ongoing project oversight and loan collection.

2. Stakeholder Matrix for Role-Based Access Control (RBAC)

Designing the RBAC requires a clear understanding of internal stakeholders and their specific mandates within the system.

Work Unit / Role	Primary/Secondary Role	Mandate & System Permissions
Credit Relation Management (CRM)	Primary	Application receipt, KYC conduction, document screening, customer communication, contract signing, and presentation for approval.
Appraisal Directorate	Primary	Technical/financial document screening, conducting appraisal work, and finalizing appraisal reports.

Engineering Directorate	Primary	Technical document screening, confirming technical fulfillment, and preparing engineering-related appraisal data.
Loan Review Committee	Primary	Reviewing loan files, KYC assessments, and final appraisal documents; forwarding comments to CRM and Appraisal.
Approval Committee	Primary	Decision-making authority to Approve, Pend, or Reject loan applications.
Legal Affairs Directorate	Secondary	Legal document screening, confirmation of loan application documents, and preparation of loan contracts.
ITS Directorate	Secondary	System administration and technical support.
Ongoing Concern & Acquired Assets	Primary	Document screening, KYC, and appraisal specifically for foreclosures and disposals.
PM & MIS Directorate	Secondary	Production of credit information and management reporting.
Human Resource Management (HRM)	Primary	Specifically handles document screening and appraisal for Consumer Loans (e.g., House and Car loans).

3. Detailed Workflow and Functional Requirements

The following workflow identifies the sequence of activities and the specific users involved at each stage of the credit lifecycle.

Stage 1: Onboarding and Initial Screening

- **Action:** Potential customers apply through the system. A new dedicated work unit will be established to administer online applications and manage document scanning.
- **User Roles:** CRM, Scanning/Admin Unit.
- **System Requirement:** Online application portal, document upload interface, and automated preliminary screening against an embedded checklist.

Stage 2: Due Diligence and KYC

- **Action:** Conducting "Know Your Customer" (KYC) assessments and thorough document screening (Legal, Technical, and Financial).
- **User Roles:** CRM (Lead), Engineering (Technical Screening), Legal (Legal Screening).

- **System Requirement:** Workflow routing to send specific document sets to Engineering and Legal units simultaneously.

Stage 3: Appraisal and Reporting

- **Action:** Analyzing project viability. The Appraisal Directorate conducts parallel screening and sends a draft report to CRM for feedback.
- **User Roles:** Appraisal Directorate, Engineering Directorate, CRM (for feedback).
- **System Requirement:** Version control for draft appraisal reports and a feedback loop mechanism for CRM comments.

Stage 4: Independent Review

- **Action:** The Loan Review Committee evaluates the completeness and accuracy of the appraisal and KYC assessment before it reaches the approval stage.
- **User Roles:** Corporate Loan Review Committee.
- **System Requirement:** Dashboard for reviewers to view the full case file and document history.

Stage 5: Approval Decision

- **Action:** The relevant committee (Corporate or District level) reviews the final presentation and makes a decision.
- **User Roles:** Loan Approval Committee (Corporate/District).
- **System Requirement:** Electronic voting or approval triggers that update the status to "Approved," "Pended," or "Rejected."

Stage 6: Post-Approval and Disbursement

- **Action:** Signing of loan/lease contracts, mortgage registration, and checking compliance for fund release.
- **User Roles:** CRM (Contracting), Legal (Advisory/Verification), Finance (Disbursement).
- **System Requirement:** Integration with account management for fund release and a tracking module for mortgage registration documents.

4. Product-Specific Workflows

The prototype should accommodate variations in the lifecycle based on the product type:

- **Project Financing:** Standard long-term development credit with high-intensity appraisal and engineering involvement.
- **Lease Financing:** Focused on capital goods procurement and supply, with unique workflows for fund release and procurement.

- **Interest-Free Banking (IFB):** Specialized workflows for Murabaha (cost-plus financing) and Ijarah (leasing) consistent with Sharia principles.
- **Consumer Loans:** Simplified workflows for house and car loans, primarily managed by the HRM Directorate.
- **Idea/Equity Financing:** Distinct workflows for startup or innovation-based financing.

5. Strategic System Goals

The automation of these processes is intended to solve several critical "AS-IS" problems:

- **Reducing Human Error:** By replacing manual documentation with automated decision rules and digital forms.
- **Efficiency:** Identifying and managing workflow bottlenecks through real-time tracking.
- **Transparency:** Providing a clear audit trail of who handled which document at what time.
- **Document Integrity:** Moving away from paper-based storage to a centralized, protected Document Management System.